

THE NUMBERS

Official USD/BRL reference 5.1567 BRL per USD 01 Sep 2026	Real move - 5 observations -0.16% 01 Sep 2026	Brazil's main interest rate 14.00% p.a. 01 Sep 2026
Comparable U.S. rate 3.625% p.a. 01 Sep 2026	Brazil's rate advantage 10.375 pp 01 Sep 2026	U.S. 10-year minus 2-year yield +0.41 pp 31 Aug 2026

WHAT CHANGED

- Economists' 2026 Brazil-rate forecast fell 0.25 percentage point over one month, while their inflation forecast edged lower.
- The real weakened 0.16% against the dollar over the latest five observations.
- Brazil's interest-rate advantage over the U.S. narrowed 0.25 percentage point over one month.

THREE WAYS THE MEETINGS COULD GO

Outcome	Brazil decision	U.S. decision	Rate advantage	Likely effect on the real	What would confirm it
Brazil stays tougher	Hold at 14.00%	Hold at 3.50%-3.75%	Stays near 10.38 pp	Real likely strengthens	Rate forecasts rise; USD/BRL below 5.09
Most expected path	Cut 0.25% to 13.75%	Raise 0.25% to 3.75%-4.00%	Falls to about 9.88 pp	Real likely weakens slightly	Rate gap reaches 9.88 pp; USD/BRL above 5.22
Brazil cuts faster	Cut 0.50% to 13.50%	Raise 0.25% to 3.75%-4.00%	Falls to about 9.63 pp	Real likely weakens more	Brazil rate forecasts fall; USD/BRL above 5.22

ONE CONDITIONAL IDEA

BUY USD / SELL BRL AFTER CONFIRMATION

NO LIVE POSITION - WAITING FOR CONFIRMATION

Thesis: If Brazil cuts rates while the U.S. raises them, Brazil becomes relatively less attractive and the real may weaken. I would act only after the currency confirms that view.

Entry trigger: Wait for USD/BRL to close above 5.22, the top of its recent range. Until then, there is no trade.

PTAX reference: 5.1567 BRL per USD on 01 Sep 2026.

Invalidation: Abandon the idea after two closes below 5.16, or if Brazil's interest-rate advantage does not shrink.

Review zone: Reassess around 5.35-5.36, one recent-range width above entry. Technical basis: 5.2233 + 0.1328 = 5.3561.

Horizon / case: Approximately two to four weeks, spanning the 15-16 September decisions and initial post-meeting repricing. Supporting scenario: Base case.

Principal risks:

- Copom holds or gives materially hawkish guidance.
- The FOMC holds or guides dovishly, pulling US 2-year yields and USD lower.
- Risk-on sentiment, stronger commodities or favorable Brazilian fiscal news supports BRL.

DECISION RULE

The trade activates only after a daily PTAX midpoint closes above 5.22 with US 2Y near/above 4.34% or no widening in the Brazil-US policy differential. Abandon the view on two post-entry PTAX midpoints below 5.16, a failure of the differential to narrow, materially lower US 2Y, or the hawkish relative to expectations outcome.

TECHNICAL DETAIL AND SOURCES

BCB Focus | BCB PTAX | BCB SGS | Federal Reserve | FRED | CME | B3

PTAX is an official reference, not an executable price. Forecasts are survey data. Global risk appetite, export prices and Brazilian fiscal news may matter more than rates.

Exchange-pricing audit: CME FedWatch (2026-09-01T02:07:02-05:00): 68.2% 25 bp hike / 31.8% hold. B3 DI1 (2026-09-01): about 21.8 bp of easing across Copom.